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# ROCKWOOL A/S (ROCK.B.DK)

Q2 2024 Earnings Call

## CORPORATE PARTICIPANTS

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**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

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## MANAGEMENT DISCUSSION SECTION

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

Thank you very much and good afternoon everybody. Sorry for the delay. We had some technical challenges here in Chennai from where we're taking the call. Today – first of all, of course, I'm Kim Junge Andersen, the CFO and with me here I have the CEO, Jens Birgersson, and today we will present to you the First Half Result and then afterwards we go into Q&A.

Before we start, I'd just like to be remind you on slide number 2, the forward-looking statement and please be aware that this presentation contains uncertainties.

And with this we can quickly go into the presentation on slide number 3.

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**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Good morning. Good day, everyone. It's Jens here. Kim and I and the whole board of dire of ROCKWOOL, including my successor, Jes Munk, we are in India, in Chennai. And the reason we are here doing a board meeting – about 90 kilometers southwest of Chennai, which was previously called Madras, we have bought a piece of land and we have approved a factory project for our second factory in India, where we have had quite a

successful from last couple of years filling up our first factory. So, that's the reason we are calling from here, and I really can't blame India for the technical problems. Everything works here, it's some other issue that's creating problems here.

So, if we move to slide 3, the H1 results, as you know I normally don't comment on half year very much but in the contrast between H1 and Q2, it's a little bit interesting. So, in H1 we saw 8%, quite broad-based growth as we have seen in previous probably in the last 1.5 year is the commercial side of the business going. We don't see much growth on residential, rather the opposite. So the residential is still trouble. But we are doing fine on the commercial side of things.

If we look at result year-to-date, EBIT margin of 17.7%, and that has been achieved on more or less neutral pricing. We have a fraction of the price reduction. There is a mix of market, in some markets the price is going up. For example, North America and parts of Asia. And there are those where the prices just hold and some where they are down, but we're kind of monitoring our market share and navigating that. So overall, we are very happy with the first half year.

Moving on to slide 4, second quarter highlights. Comparable differs a little bit. So, Q2 wasn't very strong last year. Q1 wasn't strong either last year. So, I would say we had a really broad-based growth, and record growth in North America. I don't think, we ever had a bigger growth number and higher sales, that goes for Canada and the US. Overall sales [indiscernible] (00:03:40) good to see that we crossed €1 billion. I'm not sure if that's the first time, but very, very strong quarter. And then on the EBIT margin, we reached 18.7% and that includes €7 million for creating a provision for donations. And just to sum up, [ph] we had in Q-on-Q or plus Q2 is (00:04:07) little bit more than €13 million that we have donated.

Let's move to slide 5. Just on – I'm not really going to comment this, but if you look at up on the right, the Systems division's growth, you see minus 1%. We did divest Charles Wille, so on like-for-like numbers, Systems division have 2 percentage point better growth, that's shown there.

If we now shift to slide 6, we see Q2. And what's pleasing here is to see that here, obviously, there's the Insulation business is growing very, very much, it's a super good quarter. But maybe from my perspective even more pleasing is that Systems division has gained a little bit of momentum. So, if we add back the 2% lost top line for Charles Wille, we have about 5% on a comparable basis. So, we are looking now in the coming quarters whether the growth will increase a little bit in the Systems division. The main driver for the Systems division growth is Rockpanel and Grodan that have had a very strong development.

If we turn to slide 7, the regional sales development starting with Europe, it's a very scattered picture in Western Europe. We have some countries growing 20%, 30%. We have Sweden growing [ph] pricingly (00:06:12) quite well, Germany, single digit growth, healthy growth [ph] back (00:06:18) turning the corner, although we don't see Germany on the residential side turning up at all, but that's on the commercial side. Then, we have countries like Spain, France, UK that are around the zero or slightly negative. So, quite a wide spread on that.

Moving to Eastern Europe and Russia, you see several countries we had very solid double digit growth numbers and one or two of the small amounts are negative. And we are not listed here that Russia had a very good quarter, but so did Poland and so did, for example, Ukraine. We are small in Ukraine, but we grew some 40% in Ukraine.

Moving on to North America, Asia and others. A quick summary of the whole thing that is that China is negative, US and Canada is on record growth, and Southeast Asia, including Japan very good growth, so Thailand,

Malaysia, Indonesia and where we are now, India, on very good growth. We are getting closer to a point where we can't sale more. But it's nice to see that we are growing out here and also in North America.

Let's go to profitability on slide 8. Margin has increased quite a lot if you look there on the right hand diagram, EBITDA margin up to 25%, EBIT debt margin now 18.7%, which is a lot higher than a year back. So, the trend upwards have been healthy. We have listed some of the factors. Obviously, volume growth, stable sales prices, input costs have kept stable. We see now maybe inflation coming back a little bit, we have had some favorable factors coming in, obviously compare on the inflation. But we see also very many materials kind of kicking up in normal inflation.

One item here that is worth noting, if you look at the head count, we are about [ph] 100 (00:08:43) employees, so higher in the head count compared to a year back and that is where the 10% growth. So obviously, we had a tremendous productivity improvement there, almost 9%, 10% productivity improvement and that gives a nice overabsorption where we – fixed cost on the factory overheads and all the rest, and you'll see that flow through to the bottom line. So it's nice to see that, that scalability is there in the business.

I'm also quite happy with [indiscernible] (00:09:19) ramp up in the factories where for example in North America we have to step up capacity very quickly. And also some European countries step up, Germany, for example, increased the shifts, but we have been able to do that relatively quickly and that has helped us in supporting this growth.

If we move to slide 9, here I only want to comment on margins in Q2 2024. And I guess I spoke about the 5% like-for-like growth of Systems division. Here I'm quite pleased with that Systems division is up around 15% margin again. Of course, Insulation, that margin is doing very well and I also want to maybe clarify that the whole Ukraine donation has been put on Insulation, so that you are aware of that.

Look into the investment activities, nothing of worth, you recognized most of these things. But we have done a small acquisition in Vietnam. We have signed and we are very close to close, I think four to six weeks. And just to underline that we are here with the board in Asia, we are since – since a while have been working here in Asia to step up our efforts, so I am – it's a very small acquisition, but yet an important bridgehead into Vietnam and many of us might not know that even a country like Vietnam has 100 million people and a very great outlook at the moment. So, I am happy that we could get that one because, again, it's clearly growth markets and it's good to have [indiscernible] (00:11:35) stone wool factory in the country. We're also working on some other targets in the region. There's not a lot around, but we are scouting.

Move on to slide 11. Net working capital percentage 11.5%, down compared to a year back from 13.4%, nothing special with that, it's nothing we really need to focus a lot on, it sits inherent in the business, but we don't tie up too much net working capital. If we had [indiscernible] (00:12:10) that number, due to the volume growth we perhaps would have liked to have a little bit more finished goods inventory, we have to sell a little bit more than we wanted to and we [indiscernible] (00:12:23) now maybe to bring that inventory up in the coming quarters.

And then the last bullet there the net cash position, around €200 million, net cash positive, and that's after the dividend and it's after the share buyback. We are on track. We had about €160 million buyback planned for this year and we are pacing relatively well on the curve on that front. So, good cash in spite of high investment obviously with the earnings level we have, now we have a lot of cash in the company. So, good to see that.

Slide 12, as we normally do – in the half-year report, we normally include one or two slides on sustainability, we have done that also here. There's not much drama about that. We have the five sustainability goals with a time horizon to 2030. We're on track or ahead on all of those.

Now just pull out a couple of data points here – okay, I'll take it from my memory. So, if you look first on the CO2 emission intensity, this is the goal we defined before science-based target existed, and as an engineer, that's a good metric. Here we have achieved with the index 2015, 100, in terms of tonne CO2 per produced tonne stone wool. We had the reference level 2015 of 100 and now inherently in the business we have reached the index 84, so that's 16 points, so 16% down in tonne produced through productivity improvements, conversions, green energy and some other actions. And we will see this number now continue down over the coming years because we are investing and we are taking actions, and in the annual report and the sustainability report, you will see a number, the [indiscernible] (00:14:53) so that's progressing well. And, you know the green investment on the CapEx slide, you see [ph] what type of money (00:15:01) we put into that.

We are also working now, as we said, on our energy supplies and the contracting around that to see if we can get out of this extreme volatility the next round. We have an energy crisis and something like that, so that – the effort is ongoing.

Science-based target that we also have gone for targets about CO2 equivalent emissions in absolute terms, excluding acquisitions. We have a goal for that too. And it's quite pleasing to see that when the business is growing volume and top line double digit that our CO2 emissions only increased with 6% on a more than 10% volume and sales growth. So that's good – that shows that, that kind of emissions per tonne is working. It also shows the – underlines the challenge we have on 2030 and onwards of really, really convert the whole company more or less into electrical melting driven by green energy.

So, we need – it's the really challenging target, but we are working on and at this stage we don't feel that it's impossible. We have the technologies. We have the investment plan. But then, of course, the more we grow, the more challenging that's going to become. So at the moment, I would say the long-term growth outlook is quite positive. So, it's a challenging goal, but we are working, and we can see that the actions we have taken are good.

On the Rockcycle, goal here is [indiscernible] (00:16:56) reclaimed waste schemes, but then take back our own products and upcycle them or recycle them. We have added now also Poland to the countries where we offer this service and we have now 22 countries in the scheme and the goal is 30 by 2030. So, we are well ahead of that. We will beat that goal within really – much before 2030.

And then on safety goal, no serious accidents and no fatalities in the first half year and it's what we like to see and that's how we need to perform all the time. But as you know we have a big, big operation with many factories, and these factories since – things can happen, but we are working very seriously on that, and it's good that we have a good first half year.

Going to the outlook, slide 14. Going forward on sales, we haven't seen any change or any dramatic developments in the market, but we are stepping in a couple of quarters where you have more challenging comparable. So on the top line that mid-single digit percentage growth seems like a good outlook still, although we are ahead of that until now. But that's because [indiscernible] (00:18:39) as we see it now, we see the business pretty much continue, that's good. On the EBIT margin, around 17%, also there we are a little bit ahead, but then as you know we have the December effect, could go either way. We also have the summer in France, profitable business for us, impact a bit, but we feel comfortable with that outlook and on the investment, nothing really to report on that, we are on track to invest what we've planned to invest for the year.

Should stay though on the investment slide, we have had one setback, our new plant in France, we were surprised, I must say that we got a negative verdict on one of the lawsuits. So we are regrouping on that, we have not at all given up, the new factory in France, but we need to look at that and see how we keep pushing the plant in France. If not, we should be able to start building it now but this was a setback, and we can expect a further delay, possibly we'll move the resources and accelerate another project. We have a number of projects start, but we have absolutely not given up on the French plant, we will keep working through that. Over to questions.

## QUESTION AND ANSWER SECTION

**Operator:** Thank you. We will now begin the question-and-answer session. [Operator Instructions] And the first question will come from Claus Almer with Nordea. Please go ahead.

**Claus Almer**

*Analyst, Nordea Bank Abp (Denmark)*

Q

Thank you. Yeah, two questions from my side. I'll do them one by one. The first question goes to inflation. Jens, you mentioned that you do see – it sounded like a small inflation. Does that mean you're going to raise prices or will you have to absorb that in your P&L, so to speak? That will be the first one.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Yeah. So, Claus, thanks for introducing yourself. We don't have the normal screen, but we can see who asked the question. I know who you are, so great if you can introduce yourself like that so we know. No, I – yeah, I see – I mean, the inflation doesn't go away. We had energy benefit and some other benefits, but we have several markets where we foresee that we will do a small drumbeat price increase to cover that inflation. There could be competitive dynamics in some places where we might not do that. But the overall direction is that we are ready to do a small price increase to pass on the inflationary pressures as far as we can.

**Claus Almer**

*Analyst, Nordea Bank Abp (Denmark)*

Q

Okay. And then leading to the next question, which is – your implicit second half guide, and you did touch upon this in your slides. But implicitly, you guided for around 15% EBIT margin in the second half, so down versus first half, also if we adjust for the Ukraine donation. Is this only due to France and December sale, as you said, or is it also the inflation impact? You'd previously said it's not easy to raise prices in all markets, so you had to be more specific about these price increases.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Yeah. I saw your – headline of your initial comment, and I would say we are not – you have seen some companies that have released their earnings report now and that have seen decline in top line and that is quite a mixed picture in different related sectors. So, we haven't seen any of that. So, we are not pessimistic. We are not pessimistic on the prices. I think we can do most of that. Yes, we believe there is inflationary pressures, but we have the ambition to pass that on. So that's the outlook.

And then we did upgrade – when was it – 18th of July to 17%. We felt to – to make an assessment now is not prudent. We feel comfortable with the 17%. We obviously have no ambition to reduce the profitability, but we acknowledge the December effect and the France effect as we always do. So, I will leave that to my successor to kind of nail that outlook in his maybe first earnings call.

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

[indiscernible] (00:24:03) and you know that, Claus, we're coming close and close to the autumn period, where many of our markets will negotiate 2025 prices. There's always a little bit of the timing there.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Yeah. Yeah. So, I wouldn't do straight the mathematics and say we've concluded that this and that, we'll come back on that forecast little bit deeper into those discussions. And I also say I – we feel comfortable with the 17% and the next time we will know more.

**Claus Almer**

*Analyst, Nordea Bank Abp (Denmark)*

Q

Fair enough. Thank you so much for the answers.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Thanks.

**Operator:** The next question will come from Peter Sehested with ABG. Please go ahead.

**Peter Sehested**

*Analyst, ABG Sundal Collier ASA (Denmark)*

Q

Great. It's Peter from ABG. Thanks for taking my questions. I have two. The first one is on France. The MaPrimeRénov program has noted an increase in applications following their return to [indiscernible] (00:25:13) application procedures, and I guess that these applications will probably not hit the market or realized in the second half. Is this something that you have taken into account in your guidance? Because I know that in France the renovation program has been a very important driver for ROCKWOOL for the past? That would be the first question.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. It's accounted for. We have a good profitable business and France is slightly in the negative territory in the quarter and we haven't factored in any hopes and dreams from the scheme. So, we have a good conservative or realistic forecast and that's included.

**Peter Sehested**

*Analyst, ABG Sundal Collier ASA (Denmark)*

Q

Okay. Good. And then just going back to the guidance, because your wording on pricing is essentially the same as you had – you did in Q1 and Q4. Also with respect – and we have sort of the usual thing about the December impact, that's also something that you typically iterate around this time of year.



**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Yeah.

A

**Peter Sehested**

*Analyst, ABG Sundal Collier ASA (Denmark)*

Is there anything that is sort of different this time that it has been...

Q

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

No.

A

**Peter Sehested**

*Analyst, ABG Sundal Collier ASA (Denmark)*

Let's say...

Q

[indiscernible] (00:26:32)

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

No, no, it's very much – it's very much business as usual. We drive a very strict pricing process in the company, we stay on top of the markets and we try to take that very serious. And there is some – and the dynamics out there that is a different to another year, of course – and we don't have the situation we had in the autumn 2022 with the hyperinflation and all this. So, I'll say business as usual and there is a slight inflation that we've been trying to go after it, and it's not – no drama around the whole thing. But then of course, you have some market, some segments [indiscernible] (00:27:16) we worked on all that, but so far so good.

A

**Peter Sehested**

*Analyst, ABG Sundal Collier ASA (Denmark)*

Thank you for taking my questions, and also I'd like to say thanks for your effort and what you've done at ROCKWOOL. I think you've set [ph] – you and Kim and the team (00:27:30) set a very high, let's say, benchmark for the incoming CEO, so good luck to him as well.

Q

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Yeah. Yeah, yeah.

A

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

Thanks, Peter.

A

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Thank you very much, Peter. We have the same team in place and we got a very strong pair of hands taking over the business. So, I'm very optimistic about the future. Thanks. Next?

A



**Operator:** Your next question will come from Arnaud Lehmann with Bank of America. Please go ahead.

**Arnaud Lehmann**

*Analyst, Bank of America*

Q

Thank you very much. My name is Arnaud Lehmann from Bank of America. My first question is I guess related to pricing margin and returns, staying on that topic. You indeed have done very well on margins and that drove an improvement in ROIC, which you published, I think 23% is the printed number in the H1 report over the last – I think that's 12 months rolling beta, which compared to 15% last year. I appreciate there's an element of, let's say, inflation in CapEx and the cost of adding new plants has gone up. But on the other hand, I don't believe you have a broad based plants to increase capacity. It's more of a selective process. So, I guess my question is, beyond pricing and margin levels, do you believe that these sort of returns are sustainable going forward? Or is there a possibility for some sort of normalization over time?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. I would like to – I will give just a brief flavor on that reflection, Arnaud, and then Kim should comment it because he continues. My view on that is that we are not – we want to have 15% or above, but the biggest job as the CEO – or what I've seen is that for me it's not so important if it's 23% or 16% or whatever. It's important that we keep supporting the volume growth and at the end in our industry, if you have the capacity, you can deliver the volume.

So, from my perspective, I think, yes, we want to have a good cash generation with a good margin, but we would like to invest more. Sometimes we get delays like now in France, the plant, we would really like to build that, and that would be a burden for quite a while such a big plant on the return on capital employed. And quite frankly, I'd rather have a couple of percentage point lower return on capital employed and get that plant built because that's better for the long term for this business. So, that's how we look at it. So, I think that now you have a combination of the – some projects are hanging and yes, we are building plant in India, plant in Romania, we are building one in Sweden...

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

In US.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

In the US. We are building, it's not just selected, we are building and we're going to step up CapEx, but it's quite hard to build. So, it's not a goal in itself for me to keep it to 2023. But I should let Kim...

[indiscernible] (00:30:55)

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

No. But the short term, 2023 or 2024 – close to 2024 compared to 15% last year, last year was a bit abnormally low because that was impacted by the 2022 downturn in performance. And maybe this year is a bit abnormally high since we have relatively low working capital at the beginning of the year. So I think it's a – I think a

normalization would be around 20s. But as Jens said, it's not something that we steer to watch necessarily on the short term ROICs, we do the 15%-plus target setting internally and then we go for this, but we will step up investment in the coming years. So, Jes and myself will maybe not be able to present 24% ROIC short term. In the short term that's where the numbers are.

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**Arnaud Lehmann***Analyst, Bank of America*

Q

Very good. Thank you. Thank you for that. My second question, if that's okay, is regarding Russia. I mean, no change as far as I can tell in terms of the way you're thinking about the ownership of these assets for ROCKWOOL. Should we expect the change with a new management in the future, I guess, maybe [indiscernible] (00:32:10).

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**Jens Birgersson***President & Chief Executive Officer, ROCKWOOL A/S*

A

We have worked this through in detail. My successor is still until the 1st of September, a board member. He is part of it. And, we haven't seen the external environment on the reasoning for not continue what we do. We haven't seen anything change, and we see the companies who take the other route, it impacts very negatively. So we see no reason to change and there is no intention to change the strategy because of the a CEO of the company, and we are all aligned on this.

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**Arnaud Lehmann***Analyst, Bank of America*

Q

Thank you very much.

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**Operator:** The next question will come from Yassine Touahri with On Field Investment Research. Please go ahead.

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**Yassine Touahri***Analyst, On Field Investment Research LLP*

Q

Yes. Good afternoon. So, two question on my side as well. First, could you comment a little bit about the pricing trends and the volume trend that you've seen in July and August? Is it fair to assume that there is no change in pricing, or have announced some additional price increase? I think in the US there were some price increases. And on the volume, have you seen any improvement or deterioration versus second quarter?

And then my second question would be on the new entrants. Like [indiscernible] (00:33:45) relatively high today, do you see a risk for new companies to enter the European or North American mineral wool industry or do you think it's too hard like because of a regulation like – and they could face the same issue that you are facing in France.

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**Jens Birgersson***President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. So, in France, we see some pricing pressure in the residential segment [indiscernible] (00:34:12) activity is relatively low. We haven't seen much of a change. I mean, it's around zero or slightly negative – slightly up, nothing dramatic. And I think we need some, I don't know, governmental programs taking action to get that up.

Overall, in Europe, on the GDP side of things, we probably haven't seen a case for a broad-based upturn. It has weakened a little bit lately in Europe. So, France sits around zero or slightly negative. Nothing really dramatic on price, maybe some segments a bit down but other segments we can increase the prices. So that's on that side.

And then, price increases, there are some market where we – there is no issue whatsoever with price. For example, the US, we just launched 8% increase and that's in line with what happening in the market on glass wool and stone wool, that's moving.

The last question, just to make sure I understood, you asked me how difficult it is to enter the stone wool business, was that the question?

**Yassine Touahri**

*Analyst, On Field Investment Research LLP*

Q

Yeah. Do you see a risk, because the margin today are much higher than they were [ph] 10 weeks (00:35:29) ago?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Definitely yeah.

**Yassine Touahri**

*Analyst, On Field Investment Research LLP*

Q

Do you see a risk that you will see new player coming into the market?

[indiscernible] (00:35:31)

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Obviously, there are people that look at stone wool now, and they go, this is the fantastic business, let's enter this, and you have 18% EBIT margin and the rest. And I think having a single plant versus our quite big machine now with a lot of economics of scale and also considering how difficult it is to start up a plant and run a really, really productive outfit. And I think you will see some entrants, but I must say there hasn't been an entrant for a long time that come even close to our margins, because it's very, very difficult to run a small network or just one plant without brand and without the service level and all the rest.

So, I'm not particularly worried about new entrants, but yes, some people will announce new plants and we'll deal with that when that comes. But the trend historically has been that [indiscernible] (00:36:52) are announced and very much delayed because it's also very, very difficult to build the plants. You need to be very persistent in some geographies to get your plant build in today's world. And I think their scale is also important because we have the means and the persistence to just keep working it until we can build our plants. So it's not – it can be very challenging to get all the permits, when you get the permits and then you have [indiscernible] (00:37:22) whatever as it is in many industries in Europe [indiscernible] (00:37:27).

**Yassine Touahri**

*Analyst, On Field Investment Research LLP*

Q

And maybe just very last point which is [indiscernible] (00:37:32) not a question but more a comment about the fact that you've delivered such a greater growth for the company. I think it's quite impressive what you've been

able to do in terms of margin and productivity. So, just wanted to wish you the best of luck for your future endeavor. Thank you.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Thank you very much, Yassine. And you mentioned an aspect there that is an important one to us that we don't talk about too much, and that is our productivity, that economics of scale of the business. That's an underlying big advantage of ROCKWOOL that we have in the culture and that's a strong point. But, thank you for those words.

**Operator:** The next question will come from Brijesh Kumar Siya with HSBC. Please go ahead.

**Brijesh Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

So, I have a couple as well. Just on the pricing, right, it's interesting that you keep talking about pricing [indiscernible] (00:38:41) the quarter, but looking at Eastern Europe, Eastern Europe growth is up 28% in Q2. Given some of your competitors, not direct one, but a different segment little bit, but they talk about when the volume is bounce back, they see some pricing pressure. Is that something [ph] that is (00:39:02) also impacting you. Because I recollect historically Eastern Europe has been a different market where competition is little more intense compared to Western Europe. So, any comments around that will be very helpful. And within that, if you could just give a little more flavor into the Western Europe, when everybody is talking about interest rate cut coming through, do you see similar risk panning out in Western Europe as well when the volume bounce happens maybe towards end of Q4 or maybe into 2025? So that's my first one. I'll come back on the second.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Okay. Thank you, Brijesh. So in the Eastern Europe, we have the classic country, for example, Poland, where price competition is fierce, whenever volumes go down – whenever it is down, and you see the whole EPS competition in several segments, flat roof and in façades. So, there we really leave it. But then there are also some Eastern European markets where, Romania, Hungary, but we don't see much of that. But it's more Western in the dynamics, but for sure that effect is there, and it's no secret that Poland is challenging now, but we balance volume and price and it's kind of schoolbook, really, really a lot of competitors that want volume for any price. And we do well on the really big projects where you want really our fire safety, you want delivery safety, you want then logistic, those projects will still can take with good margins, and on the other we need to play it a bit more by the yearend. And then correct some – balance when the upturn comes. So, that's the same patterns as we have discussed many times, Brijesh.

But there are also quite a few Eastern European markets that doesn't have that Polish dynamic. Then in the Western Europe on the trends and the dynamics, I think fundamentally in Western Europe, what you see is that sometimes there could be – there could be circumstances, and means that, that goes three, four months and you get simply too many projects and then some months doesn't get enough, but then it turns into a bit of a seasonal panic in one of the competitors, and that is nothing unusual of that. And we have seen it, for example, in Germany several times where someone really, really want volumes. Our approach has traditionally been that okay, if it's not on a sustainable level pricing we rather stepped away from those projects and then the market will normalize. And I must admit I have not seen any other trend in Europe. I don't see any change to the fundamental dynamics to the Western European pricing and demand.

**Brijesh Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

Perfect. And my second question is more into the US. You're talking about US, you are nearing full capacity. Then, looking into 2025 and 2026, and I guess your new plant is not coming on stream until 2027.

[indiscernible] (00:42:32)

**Brijesh Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

So what kind of – US – I was talking about US, sorry [indiscernible] (00:42:38)?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. So, there are two...

[indiscernible] (00:42:43)

**Brijesh Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

I was asking you about – sorry, if I just finish the question, is that you have near full capacity right now and looking into 2025 and 2026, what's kind of volume headroom you have to continue to grow this number or you see there is a kind of really a capacity constraint that's limiting your growth in the near to medium term until the new plant comes in 2027.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Yeah. So there are the normal two or three factors here on full capacity that can be quite confusing for our business because if we don't – if we miss a few months, and we are not on full [ph] capacity, we've frozen (00:43:25) capacity and we can never catch up back in the year. So what happened here was that we had some challenges with delivery times. So, in the US, we didn't expect the ramp-up, the business went down in 2022, early 2023. And then the step changed up, and we didn't have the shifts in place, we battled to get blue collar workers in, the shift dropped [indiscernible] (00:43:59) train them and all the rest. Then we started this more than six months backlog of orders on delivery times. During that period, we didn't increase prices. We just focused on wanting to work back lead times. And then we go up on full capacity. So this doesn't mean we don't have more capacity in the plant, even though we run a couple of months at full. So going into next year, we will count that if you see a good next year with more seasonal stock and rounding more close to full the rest of the year.

So we have more growth in the business and that would take us through one or two years, I think. And then, of course, after that, we do what we normally do if we run out, we use capacity from other parts of the world, supply the demand, although we don't make a lot of money on that. Our ambition – and we have done a lot of that in Europe, you remember last time [indiscernible] (00:45:02) very high utilization, we shipped from even Norway down to Germany, we use those type of means, because our priority, if we have that demand is to supply the customers and here we might get into that next year or the year after that, we actually have to bring in [ph] certain grades of (00:45:21) stone wool into the US, and we would be ready for that when it's needed.

**Brijesh Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

Okay. That's great. Thank you. Thank you, Jens, for all your kind of effort. And I think, yeah, you've done a great job as my colleagues have already told that can probably – the pricing initiative you've taken in the last nine years has been simply pretty impressive and that's – we can see with the margins. So, thank you very much and a good next innings.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Thank you, Brijesh. Very well, thanks.

**Operator:** The next question will come from Harry with Goad (sic) [Harry Goad with Berenberg] (00:45:55). Please go ahead. Harry, your line is open.

**Harry Goad**

*Analyst, Joh. Berenberg, Gossler & Co. KG (United Kingdom)*

Q

Yes. Hi. Can you hear me?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. We can hear you.

**Harry Goad**

*Analyst, Joh. Berenberg, Gossler & Co. KG (United Kingdom)*

Q

Yeah. Okay, great. It's Harry at Berenberg. I've got two, please. So firstly, just coming back on a couple of remarks you've made on the margin. I think it may be in response to Arnaud's question. But just a clarity, I appreciate your point that both margins and returns of capital could move around. But were you indicating that around 15% in terms of EBIT margin is the right way to think about sort of through cycle average margin and obviously having had a big increase this year.

And the second question, please, is around sort of pricing and competition. And when we're thinking about that, should we be thinking about your product relative to other stone wool providers or should we actually always be thinking about it relative to the broader suite of insulation products? Thank you.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. So, I will hand over the 15% margin question to CFO, Kim. I'll take the other one first and then Kim will answer the average cycle margin, which I don't feel I'm the right one to answer at this moment. On pricing and competition, I would say that, yes, it probably attracts people to the market. Stone wool is a great product. It has a very clear cut out space in the market to meet the climate goals. Our insulation among other insulation [indiscernible] (00:47:45) is the best.

And so I think we can see some new entrants. But again I don't see anything happening there quickly due to the nature of the business. And in the last couple of years, the inflation on equipment, this nearshoring drive that has happened in Europe and the US is just expensive and complicated to build, and there isn't a – we have a lot of in-house engineers doing a lot of this work. It's not the easiest. So, I wouldn't factor in that you will have big new



entrants that come with five, six factories very quickly. That's not likely to happen. But sure, we're going to have new entrants.

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

Normalized in margin I don't think necessarily exist. Of course in the coming a few years here in 2025 and into 2026, we have no plans to open any new factory, so there will be no immediate depreciation change coming. That would change, of course, once we start to get the big factories opened in Europe and in the US. So that will definitely impact the EBIT. We are working on margin improvements. We have told you previously about our efforts to reduce the manning in our factories. That is definitely a margin possibility. But besides that I think we just work towards having constant focus on productivity and then hopefully to maintain or improve margins That's really our aim, but as said from 2027 onwards, there would definitely be more depreciation coming from the [ph] planned (00:49:25) investments that we are doing over the coming years.

**Harry Goad**

*Analyst, Joh. Berenberg, Gossler & Co. KG (United Kingdom)*

Q

Thank you very much.

**Operator:** The next question will come from Zaim Beekawa with JPMorgan. Please go ahead.

**Zaim Beekawa**

*Analyst, JPMorgan Securities Plc*

Q

Afternoon, all. Just two questions for me. The first one is, I noticed there's a slight mix effect in the regional sales. Can you just remind us on the impact this has on the margins basically by region? And then secondly, on your hedging for the year and into 2025, please? Thank you.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Okay. I'm going to leave the hedging to Kim. Actually with the recent success we have had in North America, we don't have so much regional effects of the margins. We have always said France is a very good market, but we have a lot of other markets now that are in the same level. So when you have North America versus Europe, on average you don't see much mix effect – country mix effect anymore, because we are up on scale and we start to have that mass profitability in North America. And then, Asia is still too small to impact the picture, doesn't matter if [ph] they grow 20% (00:50:40). I would say it won't impact overall numbers because they are still too small. So, there are some effects. We still have more difficult markets like Poland and some other markets, if that really grows a lot, it dilutes. But at this stage I won't say a country mix effect is big.

And then in the residential segments, actually our margins per unit is a little bit higher [indiscernible] (00:51:08). On the other hand we get this beautiful overabsorption from all the commercial heavy density products, flat roofs [indiscernible] (00:51:19) and that also give an effect. So, I won't say we have any great mix impacts at the moment. But for sure, if we wouldn't have had the volume growth that we have now, all these big project, heavy flat roof projects would have diluted the margin a little bit, because that margin on the paper is slightly lower, but with this absorption [indiscernible] (00:51:45).

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A



On the hedging side, Zaim, as we – we had this with the [indiscernible] (00:51:53), which is still our biggest energy source, there we can only [indiscernible] (00:51:57) at the time. As right now we don't have [indiscernible] (00:52:00-00:52:08) other than in Norway, Spain, we do have [indiscernible] (00:52:12) sort of long term contracts, for the best of the consumption on electricity and on gas, we have [indiscernible] (00:52:21-00:52:29) expected consumption.

**Zaim Beekawa***Analyst, JPMorgan Securities Plc*

Perfect. Thank you for those answers. And, Jens, best of luck on your future endeavors also.

**Jens Birgersson***President & Chief Executive Officer, ROCKWOOL A/S*

Thank you very much. Thank you.

**Operator:** The next question will come from Marcus Cole with UBS. Please go ahead.

**Marcus Cole***Analyst, UBS AG (London Branch)*

Hi. Marcus Cole from UBS. I've got two questions as well. I was reading in the statement that you've recovered some share in Europe. I was just wondering if you're willing to put some numbers to that?

And then the second question is just on the volume growth strength in H1. Are there any one-offs in there that we should be aware of that you don't think that can be repeated in the rest of the year? Thanks.

**Jens Birgersson***President & Chief Executive Officer, ROCKWOOL A/S*

Okay. So, market share [indiscernible] (00:53:14) quite hard maintaining it. In some countries we note down to the decimal because there are associations working and sometimes we don't know exactly. So, the market share has remained pretty stable [indiscernible] (00:53:32) country differences. And obviously the US where we are growing, and we have a very low market share, and the total market share, the high market share [indiscernible] (00:53:44) a couple of percentage point of [indiscernible] (00:53:47) market. We are taking market share [indiscernible] (00:53:52) market, but I don't think anyone is noticing that because everyone [indiscernible] (00:53:57). So market share stable, improved in some places [indiscernible] (00:54:01). But overall, we are happy with the way we managed that. And what was the third question?

**Kim Junge Andersen***Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

We don't have any special one-offs.

**Jens Birgersson***President & Chief Executive Officer, ROCKWOOL A/S*

No, no one-offs. No. We don't – we have some big projects, but the biggest project we ever get is like €4 million, €5 million, so [indiscernible] (00:54:23). So we have got some big projects [indiscernible] (00:54:26).

**Marcus Cole***Analyst, UBS AG (London Branch)*

Okay. Thank you very much. And best of luck for the future, Jens.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Thank you.

A

**Operator:** The next question will come from Axel Stasse with MS. Please go ahead.

**Axel Stasse**

*Analyst, Morgan Stanley & Co. International Plc*

Good afternoon, everyone. Thanks for taking my question. I just have one remaining. If I understood correctly, the commercial market drove the EBIT margins in the first half year. So, how should we look at pricing in the residential market going forward? And I'm asking this question specifically based on your comment on the key focus on volume growth. So, is it fair to assume we could see some pricing risk in the residential market when volumes pick up or did I not understand it correctly? Thank you.

Q

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

We unfortunately have a very – disturbance on the line, so we could not hear that question.

A

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

Could you maybe just repeat one more time...

A

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

And see if it's...

A

[indiscernible] (00:55:22)

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

...and keep it very short?

A

**Axel Stasse**

*Analyst, Morgan Stanley & Co. International Plc*

Yeah. Sure. Sure. Sorry. So the commercial market drove the EBIT margin in the first half year of the year. And based on your comment on – key focus on volume growth going forward, is it fair to assume that we could see some pricing risk in the residential market going forward to gain share?

Q

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

What – what – really I was trying to – try to – just a second, we mute you and we just see if we can...

A

**Axel Stasse**

*Analyst, Morgan Stanley & Co. International Plc*

Okay.

Q

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Yeah. Okay. So I think the residential market at the moment is a bit of a falling knife. So, we clearly don't have an ambition in the market – if you look at the new housing starts, in Germany it's down to even lower level than last year, I can't remember how much but this is really, really low. So, we don't have a plan to attack in anyway and take market share. We just try to stay in. And when the market is that low, it's better to focus on where we have some volume growth and where we have an opportunity to just ramp up and get nice business in. So, I don't think the timing to go after market share growth in the residential is a good one at all because I think it will just result in a negative price spiral. So, we try to take care of our market share, and then we hope that at some stage this market comes around.

A

**Axel Stasse**

*Analyst, Morgan Stanley & Co. International Plc*

Okay. Thank you very much.

Q

**Operator:** This concludes our question-and-answer session. I would like to turn the conference back over to our host for today for any closing remarks. Please go ahead.

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

Yes. Yeah. From myself and from Jens here, we'd like to thank you very much for the call today. I'm sorry the line broke up a little bit here at the end. And if you have questions afterwards, of course, you're welcome to give me a call. And for some of you, we will see you next week. Thank you very much. Have a nice day.

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